EXECUTIVE SUMMARY

A. Introduction

Agency Profile

The Municipality of Claveria, Cagayan was created by virtue of the Royal Decree of Spain on June 5, 1865. It is a third-class municipality situated on the northwestern coast of the Province of Cagayan.

Scope of Audit

The audit covered the accounts and operations of the Municipality of Claveria for the year 2022 and was aimed at determining whether management presented fairly the financial statements of the Municipality in adherence to the Philippine Public Sector Accounting Standards (PPSASs), whether prevailing laws, rules and regulations have been complied with and funds were utilized in the most efficient, effective and economical manner. Financial, compliance and performance audit were conducted to achieve these audit objectives.

B. Financial Highlights

The highlights of the financial condition, financial performance, appropriations, allotments and obligations of the Municipality of Claveria, Cagayan for the year ended December 31, 2022, with comparative figures for CY 2021, are as follows:

Particulars	2022	2021	Increase (Decrease)
Financial Position			
Assets	482,009,278.23	425,675,734.11	56,333,544.12
Liabilities	71,916,991.88	74,641,708.49	-2,724,716.61
Government Equity	410,092,286.35	351,034,025.62	59,058,260.73
Financial Performance			
Income	210,745,608.75	158,881,170.31	51,864,438.44
Expense	144,585,912.00	114,330,512.62	30,255,399.38
Appropriations, Allotments and Obligation			
Appropriations	207,614,599.00	161,365,620.53	46,248,978.47
Allotments	207,614,599.00	161,365,620.53	46,248,978.47
Obligations	154,925,521.78	113,976,724.55	40,948,797.23

C. Independent Auditor's Report on the Financial Statements

The Auditor rendered a Qualified Opinion on the fairness of presentation of the financial statements of the Municipality of Claveria, Cagayan for the year ended December 31, 2022 because the correctness and validity of the Property, Plant and Equipment account valued at ₱239,244,823.63 (net of depreciation) could not ascertained due to non-conduct of physical inventory of PPE and non-submission of

the Report on Physical Count of PPE. The Audit Team was not able to apply other alternative audit procedures in determining the correct amount of said accounts.

D. Summary of Significant Observations and Recommendations

The following are among the Audit Team's significant audit observations and recommendations:

1. Out of the fifty-three (53) priority development projects under the 20% Development Fund of the Municipality, forty (40) projects totaling P40,500,000.00 were not fully implemented as at year-end, contrary to DBM-DOF-DILG Joint Memorandum Circular (JMC) No. 2020-1 dated November 4, 2020, thus, optimal utilization of the fund for desired socio-economic development and environmental outcomes were not attained and timely benefits therefrom were not received by the intended beneficiaries.

   We recommended that the Management fast-track the implementation of the current year and continuing development projects to avoid accumulation of unimplemented projects, and to ensure the optimal utilization of the 20% development fund, pursuant to DBM-DOF-DILG Joint Memorandum Circular (JMC) No. 2020-1, for the benefit of the constituents of the Municipality.

2. The amounts set up as Real Property Tax and Special Education Tax Receivables at the beginning of the year were not based on the Real Property Tax Account Register/Taxpayer's index card, contrary to Section 246 of the Republic Act No. 7160 and Section 20 of the Manual on the New Government Accounting System (NGAS), Volume I, thus, the accuracy, validity and reliability of the RPT and SET Receivables accounts as of December 31, 2022, totaling to P4,461,893.88 could not be ascertained.

   We recommended that the Municipal Mayor require:

   a. The Municipal Treasurer, in coordination with the Municipal Assessor, to prepare and furnish the Municipal Accountant a duly certified list of taxpayers showing the names and the amounts due and collectible based on updated Real Property Tax Account Register/Taxpayer's Index Card to provide an accurate and reliable basis in setting up the Receivables from RPT and SET;

   b. The Municipal Accountant to draw a Journal Entry Voucher to record the RPT/SET Receivables established at the beginning of the year based on the submitted duly certified list of taxpayers with the amount due and collectible for the year and maintain the corresponding subsidiary ledgers to monitor tax collections and delinquencies; and

c. The Municipal Accountant and Municipal Treasurer to reconcile the RPT Receivable and SET Receivable and draw the appropriate adjusting entries, if necessary.

E. Summary of Total Suspensions, Disallowances and Charges

Particulars	Beginning Balance	Issued During the Year	Settlement During the Year	Ending Balance	% of Settlement
Suspensions					
Prior Years	-	-	-	-	
Current Year	-	-	-	-	
Total	-	-	-	-	
Disallowances					
Prior Years	20,234.21	-	20,234.21	-	100 %
Current Year	-	-	-	-	
Total	**20,234.21**	**-**	**20,234.21**	**-**	100 %
Charges					
Prior Years	-	-	-	-	
Current Year	-	-	-	-	
Total	-	-	-	-	

F. Status of Implementation of Prior Year's Unimplemented Audit Recommendations

Out of the nine (9) audit recommendations in the CY 2021 AAR, four (4) were fully implemented, three (3) were partially implemented, and two (2) were not implemented.